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Axil Prime Credit 3M

Tokenized consumer credit: structure, protections, and risks

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Scope, sources, and limitations:

- This report evaluates APC 3M as a tokenized private-credit allocation for eligible investors, assessing the vault's structure, stated return target, underlying credit exposure, protection mechanisms and principal risks.
- This analysis combines materials supplied by Axil and Pharos with public launch information.
- Not all information has been disclosed or provided by the related parties.
- Historical performance is not vault performance.

Executive Summary

Axil Prime Credit 3M is a fixed three-month, permissionless, tokenized credit structure on Pharos. Eligible investors subscribe with USDC and receive APC3M, the onchain receipt token for their vault position. Through a note and fund structure, the vault provides senior economic exposure to short-term consumer loans in emerging markets, including Mexico, Thailand, the Philippines, Indonesia, and other identified markets.

The vault has a \$100 million capacity and targets 14.3% gross APY and about 13% net annualized yield after a 10% performance fee. That equates to ~3.1%-3.2% net over one three-month cycle, assuming the target is met.

APC 3M at a Glance			
Target Return 14.3% gross APY ~13% net annualized yield after the stated 10% performance fee	Expected 3-month Return ~3.1% - 3.2% net (assuming the target is met)	Capacity \$100 million	Term 3-month fixed lock-up (then exit / settlement window)
Deposit Asset	USDC	Risk Curator	AXIL
Network	Pharos	Investor Access	Eligible or accredited investors; KYC and jurisdictional restrictions apply.
Vault Technology	R25 Protocol	Settlement	Rollover or exit after the lock-up; settlement may take ~14 business days and no yield accrues during that period.
Underlying Exposure	Short-term consumer loans in Mexico, Thailand, the Phillippines, Indonesia, and others.		
Source: Alea, AXIL			





The portfolio contains thousands of small consumer loans across these emerging markets, generally between \$60 and \$250, and mostly two to four months in length.

Axil curates and monitors the strategy. R25 provides the vault infrastructure, while Pharos provides the blockchain and settlement layer. An underlying private credit fund (SFC-regulated) connects the onchain vault via a lending platform group to local lending entities, which originate and service the consumer loans. A BVI-domiciled SPV issues the tokenized notes through which vault capital is invested in the fund presented above. A Hong Kong-based regulated fund manager holding Type 1, 4 and 9 licences manages the underlying portfolio.

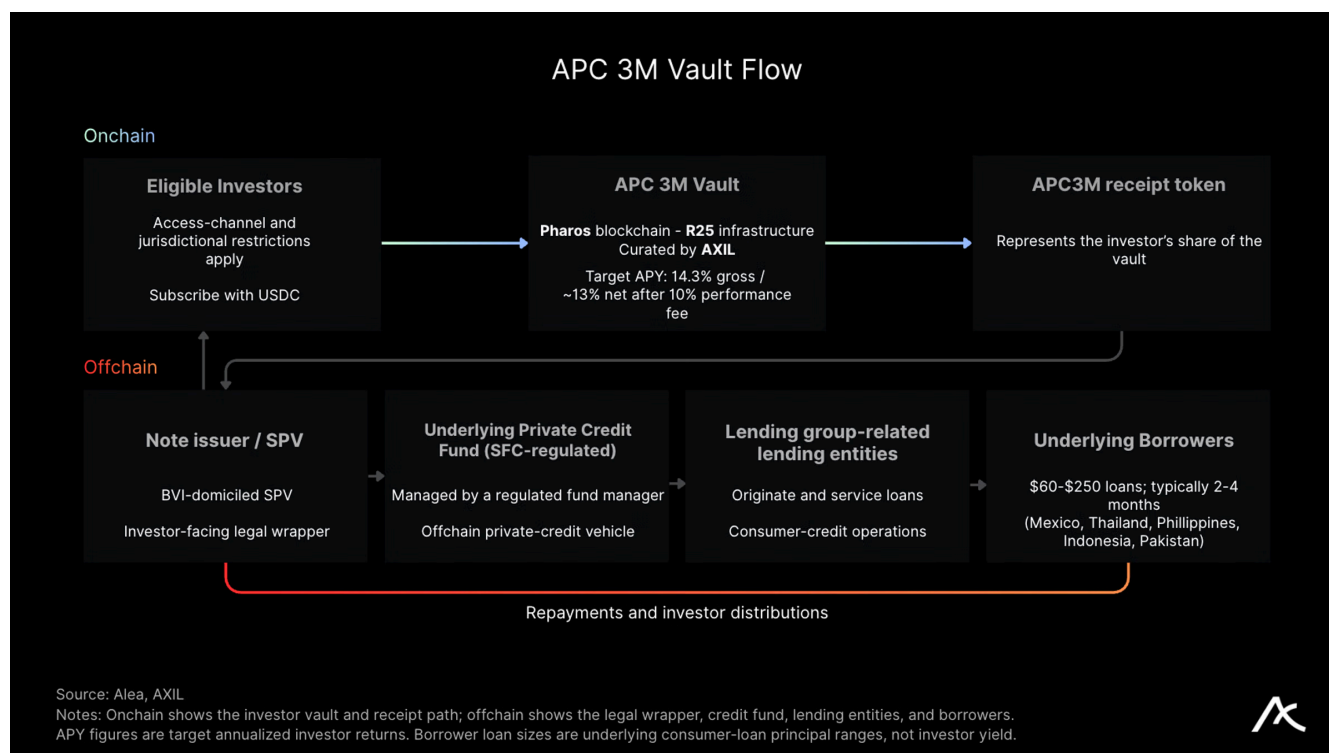
Investors should treat APC 3M as an offchain credit allocation wrapped in an onchain vault. Besides the target return, investors should also focus on the legal path from vault position to the underlying private credit fund, the strength of the lender and junior-capital protections, the treatment of FX and NAV, and the exit mechanics after lock-up.

Vault Description & Timeline

The vault is built around a fixed three-month subscription cycle. Investors deposit USDC on Pharos and receive APC3M tokens representing their interest in the APC 3M vault. Participation is permissionless, subject to certain jurisdictional restrictions.

APC3M contract address on Pharos: `0xEC47E6f3EF1E7bc8e00F670aC3d5016798Fe44d0`

Underlying USDC contract address: `0xC879C018dB60520F4355C26eD1a6D572cdAC1815`



The vault was deployed on July 7, 2026, and its first subscription window ran from July 15 to July 19. That window has closed. The first cycle entered lock-up on July 20 and is scheduled to become withdrawable on October 20. Investors with active positions may submit or cancel redemption requests until October 16.

Withdrawals can take up to 14 business days to process, and no yield accrues during the exit/settlement period. At that point, capital is being withdrawn and returned rather than continuously deployed in the credit strategy.

The return should be defined as targeted and structurally supported, not guaranteed. The target is 14.3% APY, consisting of 13% deposit APY and 1.3% rewards. A 10% performance fee applies to the deposit APY, bringing the displayed APY after fees to 13%. A single three-month cycle therefore targets roughly 3.1%–3.25% net, and realized cash-on-cash return may be lower if the no-yield settlement period applies. The return comes from lending-entity cash flows, the core consumer-credit strategy, and USDC rewards.

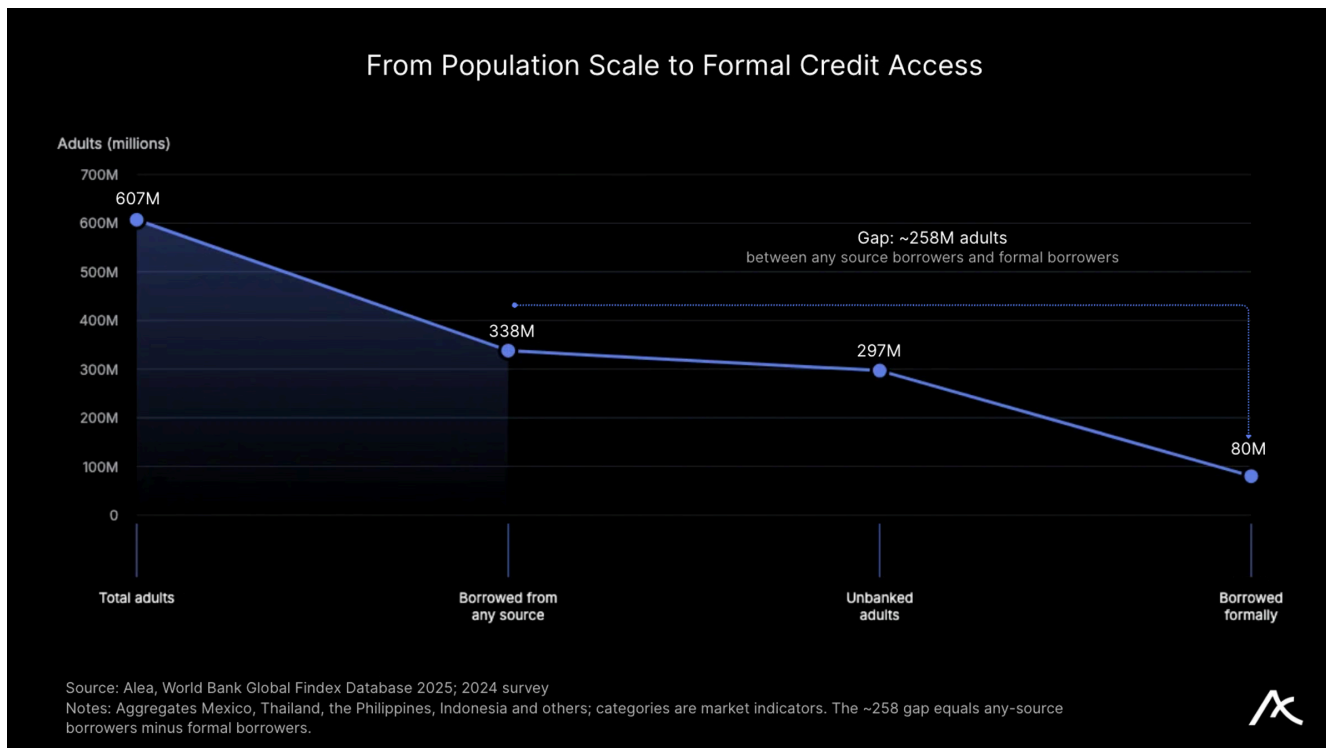
Underlying Credit Exposure & Portfolio Composition

The credit exposure is intentionally focused on consumers rather than corporates. Smaller consumer loans are more granular, recycle more quickly, and can be underwritten using digital data. Corporate credit would usually mean fewer borrowers, larger tickets, longer resolutions, and more dependence on company-specific balance sheets. The end borrowers are younger individuals, digitally active, and often underbanked consumers. Typical loans are \$60–\$250, usually with two- to four-month maturities. The portfolio has no stated exposure to software companies or corporate debt.

The portfolio is meant to be highly fragmented, with thousands of micro-loans and no single loan exceeding 0.1% of the total portfolio. The lending platform group's scale of roughly 78 million registered users, 9 million historical borrowers, and 6 million active borrowers with outstanding loans reflects the broader lending ecosystem that APC 3M targets and the capacity to support the operational load.

The focus on these areas goes beyond the “high GDP growth” perspective because for loans that last only two to four months, annual GDP is too slow and too broad to be the key signal. Instead, the value comes from the ability to turn a large formal-credit gap into digitally originated short-term loans at attractive spreads.

The country allocation is concentrated in Mexico (45%), Thailand (20%), the Philippines (18%), Indonesia (10%), and others (7%). As stated above, the case for these markets is not uniform macro growth but the gap between people who borrow and people who borrow formally. In the Philippines, 72% of adults borrow in some form, but just 12% do so formally; Indonesia is 47.6% versus 15.1%, Mexico is 41.5% versus 15.1%, and Thailand is 49.1% versus 18.0%. The target markets represent roughly 607 million adults in aggregate. Across them, these numbers imply roughly 297 million adults without an account and about 258 million adults who reported borrowing from some source but did not report borrowing formally.



Note: The data shown are from a 2024 survey, and they specifically show the gap between total borrowing and formal borrowing. Newer national surveys exist in some, but not all, target markets; however, they use different definitions and should be treated as supplementary context.

In most of these countries, digital access is high enough to support digital onboarding and repayments. [Thailand](#), [the Philippines](#), [Mexico](#), and [Indonesia](#) all show internet penetration above 70%, with mobile-broadband-capable connections above 96%.

The difference between total and formal borrowing shows an unmet demand, but it does not automatically imply good credit quality. Some applicants may lack access because of distribution problems, while others may have been rejected because they are already overextended or have unstable incomes.

FX exposure to these markets is covered by the issuer. This addresses the FX mismatch risk that may occur when APC 3M investors subscribe and redeem in USDC, while the underlying borrowers most likely repay in local currencies.

Investor Protection Layers

Four protection layers sit between borrower losses and senior investors. These protections are contractual, operate at different legal levels, and are not equivalent to insurance. All prioritize senior investors.

Overcollateralization

Overcollateralization is one way to protect senior investors. The lending entities initially pledge receivables worth roughly 120% of the financing, and coverage must remain above 100%. If coverage falls below that level, the lenders are required to top up the pledged receivables. For investors, this creates an asset-level

cushion before borrower losses reach the senior position.

Pledged Accounts and Contractual Payment Undertakings

Pledged accounts add a second line of cash control and payment oversight. Instead of relying only on borrowers paying loan by loan, the underlying private credit fund also has contractual claims against the lending entities and pledged bank accounts tied to the structure. This layer reduces borrower-level volatility and instead relies on the lenders' ability to pay and on the enforceability of the account pledge.

Junior-First Loss Capital

A junior first-loss tranche sits below senior investors and absorbs the first portfolio losses before the senior position is affected. The lending group or its affiliates put at least 12.5% of the underlying private credit fund's NAV beneath the senior position. If the portfolio takes losses, that junior capital will be hit before senior investors. Parties close to origination and servicing have actual exposure to their own underwriting. It's important to note that this part should not be added mechanically to the 120% collateral cushion; these protections sit at different legal levels.

Lending Group Support

The final layer is group-level support and is the last backstop protecting senior investors in case the lower layers fail. Its value depends on the exact legal undertaking. The provided materials do not disclose which entity signs it, what it covers, when it is triggered, whether there is a cap or which law governs enforcement.

NAV and Accounting

Valuation basis and treatment of impaired loans: Collateral is measured using the face value of performing loan principal plus any cash held in pledged accounts. Delinquent (overdue) and non-performing loans are excluded from this calculation.

NAV source, frequency, and verification: Axil aggregates official NAV quotes supplied by the underlying asset issuers and cross-checks them against independent sources. The NAV is updated daily. Apex will provide Proof of Reserve (POR) on a weekly basis.

Roles of administrator, custodian, and auditor: Ascent Fund Services is named as the private credit fund's administrator, China Minsheng Bank Hong Kong as fiat/bank custodian, Anchorage Digital as digital-asset custody support, and EY as the independent auditor. The underlying private credit fund and Axil reportedly monitor asset quality monthly.

Risk Assessment

Below are the main sources of risk identified in relation to APC 3M.

Underlying credit risk

APC 3M is exposed to short-term consumer credit rather than low-risk secured lending. The loans are small, usually \$60–\$250, and run for roughly two to four months across five emerging markets. The provided numbers of borrower-level gross yields (37%–75%) and country-level default rates (12%–27%) support a spread that can support a high vault target but also tell us that the borrower base is risky. What acts as mitigation here is the short duration, granular loan exposure, lender underwriting, collections, and the structural protections described above.

Counterparty and structural risk

Since APC 3M investors are buying exposure through a legal structure, the repayment depends on the vault, note issuer, private credit fund, lending entities, and support agreements to work as designed. If a lender, servicer, note issuer, or support provider fails to perform, the investor depends on the contracts above and below the private credit fund. The main mitigants are the four protection layers, but the exact APC legal instrument, investor recourse, ranking, and lending group support terms are not fully disclosed. Investor protection still depends on the lending entities' servicing performance, collateral controls, and ability to enforce claims when borrowers default.

Collateral and enforcement risk

The stated 120% receivables overcollateralization is useful, but it is not cash collateral. It is mainly a pool of consumer receivables (promises by borrowers to repay) whose value depends on actual repayment, recovery, and enforceability. The provided material defines collateral value as the performing loan principal at face value plus cash in the pledged account, including undrawn cash and recovered principal not yet re-lent.

If defaults rise, the fund may have a contractual claim on more assets than the amount financed, but recoveries can still fall below face value.

Liquidity and valuation risk

Investor capital is locked for three months. A settlement period of about 14 business days follows, during which no yield accrues. The product materials reviewed for this report do not identify an active secondary market for APC3M. Investors should base their exit expectations on the stated redemption process, including the action window, settlement NAV, and processing period. Valuation also depends on offchain credit data, but the materials do not clearly explain the NAV methodology: receivables, cash collections, delinquencies, recoveries, and fund-level accounting. The mitigation steps are the defined exit cycle, administrator, custodian, and audit arrangements with credible third parties.

SlowMist [reviewed](#) the vault's pre-deployment smart contracts between June 23 and June 25, 2026. The audit rated the reviewed code as medium risk. The revised code fixed most of the 11 findings, while several issues remained acknowledged, including administrator-dependent settlement, privileged controls, escrow-liquidity checks, and the risk that direct token transfers could distort NAV calculations. The audit predates mainnet deployment, so it did not verify the deployed contracts or the final allocation of privileged roles.

Conclusion

The Axil Prime Credit 3M offers short-duration exposure to high-yield emerging-market consumer credit through a senior, tokenized structure. The core appeal is small loan sizes, high underlying yields, and several legal protection layers. The target markets also have a large formal-credit gap, creating room for digitally originated loans at higher spreads.

The product is best suited for investors seeking higher USDC returns than standard onchain cash-like vaults, with a willingness to take offchain private-credit, counterparty, and liquidity risk. It may also fit investors who want emerging-market credit exposure but prefer a fixed-term senior structure over direct lending or open-ended credit funds.

References

[APC 3M Vault — Pharos Port](#)

[APC 3M Vault Audit — SlowMist](#)

[APC3M Token Address — Pharosscan](#)

[USDC Contract Address — Pharosscan](#)

[Vault announcement post — X \(@pharos_network\)](#)